- Spreads decrease and level out after about the first 15−30 minutes for large cap stocks and after about 30−60 minutes for small cap stocks. The amount of time spreads persist at the higher values is longer than it was historically where both large and small cap spreads used to decline rather quickly and often within 15 minutes for both.
- Small cap spreads persist longer than large cap spreads.
- Small cap spreads are higher than large cap spreads due to the higher risk of each company, lower trading frequency, and higher potential for transacting with an informed investor.
- NYSE stocks have slightly lower spreads than NASDAQ stocks even after adjusting for market capitalization.

Analysis of intraday spreads found three observations worth noting. First, spreads are much higher in the beginning of trading and these higher spreads persist longer due to a difficult price discovery process. Specialists and market makers used to provide a very valuable service to the financial markets in terms of price discovery and determining the fair starting price for the stock at the market open. Now, the price discovery is often left to trading algorithms transacting a couple of hundred shares of stock at a time. While algorithms have greatly improved, they are still not as well equipped as the specialists and market makers in assisting price discovery. For example, specialists used to have access to the full order book and investor orders prior to the market open. So they could easily establish a fair value opening price by balancing these orders and customer preferences. Market makers also had a large inventory of positions and customer orders which allowed them to provide reasonable opening prices. The current electronic trading arena, where investors only have access to their individual orders, does not allow for an efficient price discovery process. Second, NASDAQ spreads are lower than NYSE spreads even after adjusting for market cap. The belief is that this is likely due to the NYSE designated market maker (DMM) system that has been established to encourage the DMM participants to participate in the process by providing liquidity when necessary. Third, spreads now decrease going into the close rather than increasing. This is likely due to greater transparency surrounding closing imbalances and investors' ability to offset any closing auction imbalance (Figure 2.4).

Volumes

- Intraday volume is measured as the percentage of the day's volume that traded in each 15 minute trading period.
- Intraday volume profiles are not following the traditional U-shaped trading patterns.